Logical TA @tendorian9

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Simple DLMM Exit Strategies 🧵

This post replaces the previous post about exit strategies as the better version.
x.com/tendorian9/sta…

A lot of times getting into a DLMM position is easy, just look for big volume and enter, but the problem comes on how to exit. Do we hold on to print more fees or get out on the first pump in case there is a big rug.

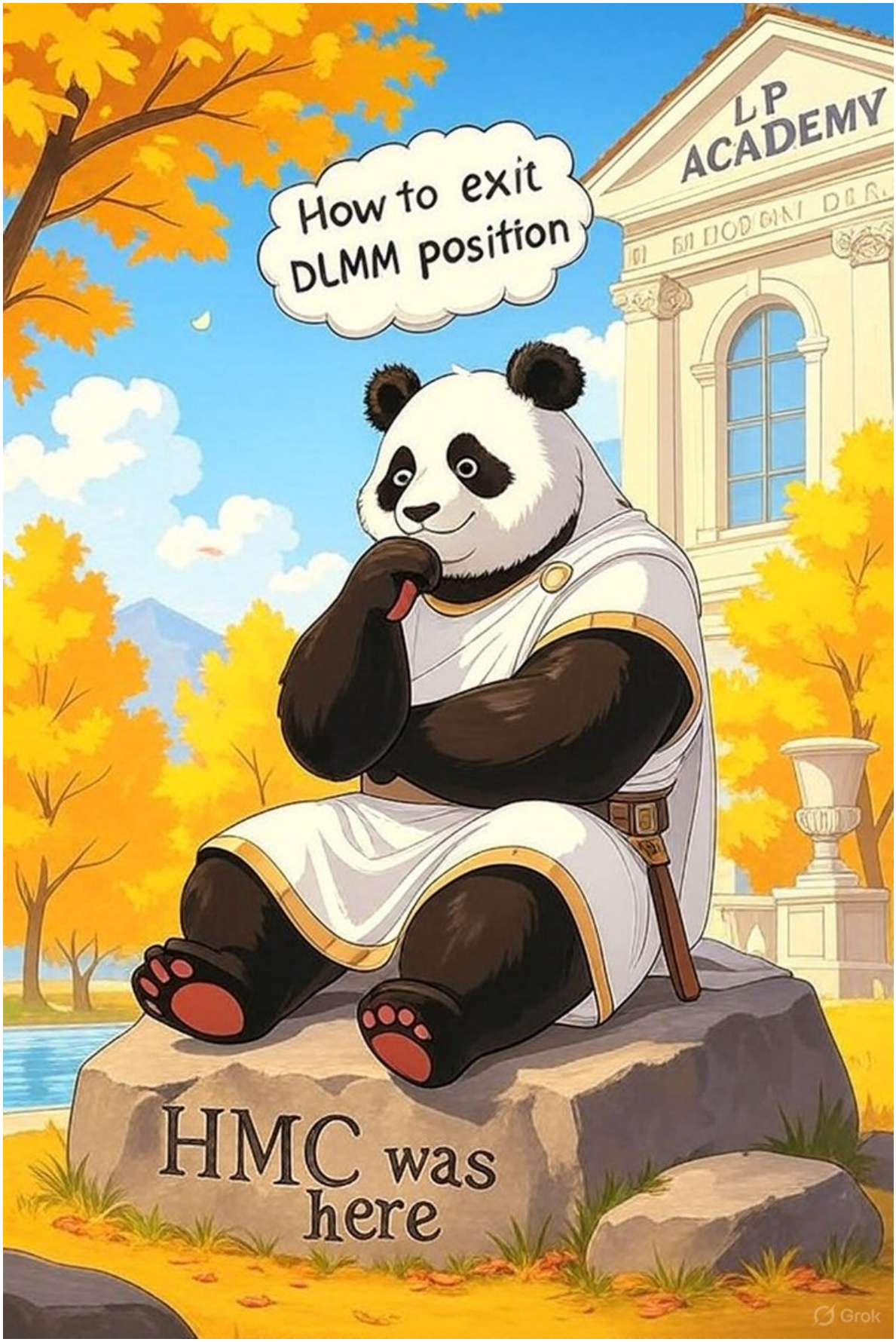
Here I will use some simple indicators to determine what we should do. Every indicator is built different and can be used for different situations. But note that there is no perfect system, it all comes down to individual preference and on how they trade.

The success of these indicators also depends on the coin selection criteria, if you chose a bad coin to DLMM, these indicators become useless since they would just keep dumping and not give us a pump to exit.

You can read my post from last month on coin selection. Link at the end of thread.

@LP Army @Meteora

1/6


LP
ACADEMY
How to exit
DLMM position
HMC was
here
Grok

1. Supertrend

As I posted last month, I like using the Supertrend indicator as it is a simple way to look at what the trend is. If price is above supertrend indicator then the trend is up and we can open positions to print fees when it chops.

When price breaks the supertrend support, then it is time to look for an exit, I would just wait for a nice green bar to exit or wait for a good pump. But there are better methods we can combine with the supertrend to find better exit points.

2/6

2. RSI(2)

Change the settings for RSI length to 2 and the UpperLimit to 90. We are using the fastest RSI setting to determine exit points.

1. We stay in DLMM position until supertrend breaks support.
2. We wait for RSI(2) to spike/close above 90.
3. Close the position.

This ensures that we are getting out on a pump which is always a good way to maximise profits.

In this example since when RSI(2) closes above 90, the price also broke back above the Supertrend, so we dont even need to close the position and let price keep chopping to earn fees.

3/6

3. MACD

This indicator is pretty straight forward, we do not need to change any settings.

After a break of supertrend support, the MACD histogram is almost always be at negative value. So we just have to wait for the histogram to turn up and we can close the position on the first green histogram.

In this example it is not at the perfect place to close compared to RSI(2), but you will see certain situations where this MACD method catches the top before the dump begins.

4. Bollinger Bands(BB)

Nothing complicated here, just add the bollinger bands indicator into the chart. After price breaks supertrend support we are looking to exit the position. We wait for price to spike/close above the BB Upper Line and we close the position.

Price spiking above the BB Upper Line often gets sold off as price is technically 2 standard deviations away from the 20 moving average price.

Nothing complicated, we are just using 3 of the most widely used indicators to help us find exit points.

There are other indicators which can also get us the same results but they are generally less used in technical analysis trading.

There is no best indicator for trading, it depends on situation. In general we are looking for a pump to get out of our positions after a supertrend support break which is the first sign of weakness.

But also remember we are using this in a volatile meme market. When bundlers/ruggers wants to rug, no amount of technical analysis from indicators will save us. So always choose the right coin first.

And also remember liquidity is not big in the early meme coins, a 1% holder selling their position when the coin is still early can cause supports to break easily on the charts, which causes TA people to also dump their bags which causes people who use stop losses to trigger those SL. This is how a selling cascade starts. So use a safe range to DLMM.

So it all goes back again to

1. Choosing the right coin
x.com/tendorian9/sta…
2. Choosing the right pool/range (needs to be updated)
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6/6

LP
Army

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